

FEDERAL MARITIME COMMISSION

Docket No. 23-13

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

EASY SHIPPING CORPORATION,

RESPONDENT.

**COMPLAINANT’S SECOND SUPPLEMENTAL BRIEF AND
SUPPLEMENTAL APPENDICES**

I. INTRODUCTION

1. Complainant, USL Auto Exporting Inc., respectfully submits this Supplemental Brief and Supplemental Appendices to provide additional evidence obtained from Respondent’s subpoenaed email communications (**Ex. V, CX_296**) and CMA CGM correspondence regarding the return of Container TCKU6353393 (**Ex. X, CX_333**).
2. The newly obtained documents establish that the return of the container was due to prohibited cargo loaded at Respondent’s warehouse, specifically a 2004 Nissan Frontier (VIN: 1N6ED27T74C480495). This evidence directly contradicts Respondent’s assertion that Complainant’s container was returned to Savannah due to Complainant’s misdeclaration.

3. In particular, Complainant addresses additional proof of Respondent's pattern of misreporting shipment information, distinguishes the facts of Complainant's own container shipment from those other incidents, and strengthens the legal arguments supporting Complainant's claims.
4. Complainant respectfully notifies the Commission that the Appendices have been updated to include **Exhibits V, W, and X**, which consist of newly obtained documentary evidence, including Respondent's subpoenaed email communications and CMA CGM's internal correspondence regarding the return of Container TCKU6353393. These exhibits support Complainant's arguments presented in the Second Supplemental Brief and are now part of the official record.
 - a. **Exhibit V – CMA CGM Internal Emails and Correspondence:** Includes communications from CMA CGM employees (notably Kailyn Davis) regarding Respondent's pattern of misreporting shipments, account status, and the reasons for container holds and returns. These emails also confirm that jet skis were not a subject of concern in the investigated shipments, directly contradicting Respondent's assertions.
 - b. **Exhibit W – CMA CGM Shipping Instruction and AES Filings:** Contains copies of shipping instructions submitted by Respondent, which show discrepancies between the AES ITN and the CMA CGM entries, including the misidentification of a 2004 Nissan Frontier as a 2018 Nissan Murano.
 - c. **Exhibit X – Bill of Lading and Vehicle Documentation for Container TCKU6353393:** Includes the AES declaration, in-house bill of lading, and

confirmation of the VIN (1N6ED27T74C480495) for the prohibited 2004 Nissan Frontier loaded at Respondent's warehouse.

5. Complainant respectfully seeks to ensure the Commission has a clear, well-organized record of the key evidence and legal points before rendering a decision.
6. These exhibits provide critical factual support demonstrating that the return of the container was due to prohibited cargo loaded by Respondent—not any action or misdeclaration by Complainant—and it further establishes a pattern of misconduct by Respondent relevant under 46 U.S.C. § 41102(c).

II. Factual Background and Supplemental Evidence

A. Respondent's Pattern of Misreporting Shipments (Other Incidents)

7. Through discovery and a subpoena to CMA CGM,¹ Complainant has obtained additional evidence demonstrating that Respondent's misconduct was not an isolated incident but part of a broader pattern. The Supplemental Appendices include a series of CMA CGM internal emails – labeled as “Reporting Suspicious Activity on U.S. Shipper” – which document multiple instances of Respondent misreporting shipment information on other customers' containers.
8. CMA CGM's internal correspondence confirms that Respondent's misreporting was frequent enough to establish a pattern. CMA CGM took the extraordinary step of formally flagging Respondent's account due to these repeated infractions, which clearly indicates that Respondent's behavior was not an inadvertent one-off error. This supports Complainant's argument that Respondent's conduct amounts to a “normal, customary, and continuous practice” under Shipping Act jurisprudence.

¹ . CMA CGM internal correspondence, Ex. V, CX_142.

9. The new evidence establishes that Respondent's wrongful conduct extended beyond Complainant's container. Respondent routinely mis-declared cargo and destinations on multiple shipments, as documented by CMA CGM's emails. While Complainant has no stake in those separate shipments, they demonstrate that Respondent's unjust and unreasonable practices were systematic. This pattern evidence bolsters Complainant's case by showing that Respondent's conduct was not an isolated oversight but part of a broader practice.
10. Complainant's claims for relief and damages relate solely to the mishandling of its container (SEGU4852914) and the losses incurred therefrom. The details of that shipment—misdescription of the Toyota Tundra, failure to carry out return procedures, and consequent financial harm—are unique to Complainant and form the basis of this proceeding.
11. The additional incidents evidenced by CMA CGM's emails (**Ex. V, CX_296-267**) did not involve Complainant. However, they are introduced here to demonstrate Respondent's broader business practice. The pattern of similar misconduct in other transactions establishes that Respondent consistently engaged in misreporting and non-compliance, further highlighting that Respondent's behavior toward Complainant was willful and part of a standard *modus operandi*.
12. The Commission should consider the CMA CGM email evidence for the limited purpose of assessing Respondent's intent and the egregiousness of its conduct, as well as satisfying the element of a "practice" under 46 U.S.C. § 41102(c).
13. Complainant is not seeking additional damages or separate findings regarding those third-party shipments but contends that this pattern of evidence justifies a finding that

Respondent's treatment of Complainant was part of an unjust and unreasonable system of operations by Respondent.

II. ARGUMENT

A. Respondent Committed a Similar Alteration on Another Container²

14. In the return of container TCKU6353393, the newly obtained evidence confirms that the return was due to prohibited cargo—specifically the 2004 Nissan Frontier (VIN: 1N6ED27T74C480495)—which was loaded at Respondent's warehouse. **(Ex. X, CX_333).**
15. In the in-house bill of lading, Respondent declared to the AES ITN that the vehicle 2004 Nissan Frontier (VIN: 1N6ED27T74C480495). **(Ex. X, CX_333).**
16. When Respondent submitted the shipping instructions on the CMA CGM's website, Respondent altered the vehicle description submitted to CMA CGM by misidentifying the 2004 Nissan Frontier as a 2018 Nissan Murano. See CMA CGM Shipping Instruction **(Ex. W CX_327).**
17. The record unequivocally establishes that Respondent's own mismanagement and failure to comply with cargo restrictions led to the return of the shipment.
18. Therefore, Respondent's continued misrepresentations regarding Complainant's role should be rejected outright by the Commission.³

² . Docket No. 94-19, *Bestway Int'l, Inc.* – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, 28 S.R.R. 1066, 1076 (F.M.C. 1999) (“A consistent pattern of misdescription of cargo, even if not fraudulent in intent, demonstrates a disregard for regulatory obligations and supports a finding of an unjust or unreasonable practice under the Shipping Act.”).

³ . *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, No. 09-01, 2012 FMC LEXIS 16, at *45–46 (F.M.C. July 27, 2012) (“Bare allegations, without evidentiary support, are insufficient to defeat a properly supported claim, and unsupported assertions do not raise genuine issues of material fact.”). “A respondent's mere denial of responsibility, unsupported by evidence, cannot overcome the complainant's prima facie case, especially where the record is otherwise consistent with the complainant's assertions.”

B. Respondent's Conduct Violates the Shipping Act's Requirements for Reasonable Practices

19. Respondent knowingly engaged in these activities for over two years, fully aware of the associated risks, and having done so, must now bear the consequences of those risks it voluntarily assumed.⁴
20. Respondent's actions in handling Complainant's shipment – and its similar conduct in other shipments – constitute a clear violation of 46 U.S.C. § 41102(c). Under § 41102(c), common carriers and NVOCCs must “establish, observe, and enforce just and reasonable practices” in dealing with shippers.⁵ This statutory duty means that an NVOCC such as Respondent cannot simply act as a passive conduit of misinformation; it must exercise diligence and ensure accuracy and integrity in documentation and dealings. The Federal Maritime Commission has consistently held that a carrier “cannot evade liability simply by blaming the shipper” for erroneous information.⁶ In other words, even if the shipper (Complainant) provided details, the carrier/NVOCC remains responsible for verifying and handling those details reasonably.
21. Beyond the specifics of Complainant's single shipment, the evidence shows that Respondent's violations were part of a continuous pattern or practice, which is a crucial consideration under § 41102(c). The Commission's interpretation of § 41102(c) (as reflected in its precedent and Interpretive Rule) emphasizes that the statute is aimed at

⁴ . *See Mitsui*, 2012 FMC LEXIS 16, at 36 (“Respondent's actions over an extended period of time demonstrate a pattern of deliberate conduct, not inadvertent error. Having actively participated in these activities, Respondent cannot now disclaim responsibility for their consequences.”).

⁵ . “A carrier may not escape liability for violations of the Shipping Act by shifting the burden of compliance onto its customers.” *Cargo One, Inc. v. COSCO Container Lines Co.*, No. 99-24, 2003 FMC LEXIS 20, at *23 (F.M.C. July 16, 2003).

⁶ . “The Commission has repeatedly held that it is the duty of the carrier to ensure that its practices are reasonable and lawful.” *Id.*

addressing “practices” that are unjust or unreasonable – i.e., conduct that is ongoing or systemic rather than an isolated incident. Complainant’s supplemental evidence firmly establishes that Respondent had a repeated pattern of misreporting and non-compliance in its operations.⁷

22. CMA CGM’s internal emails reveal that Respondent has a documented history of misreporting shipment details, which ultimately led to increased scrutiny and the placement of its account on hold.

23. In an email from CMA CGM employee **Kailyn Davis**, the following concerns were raised:

"Dawn Webber directed me to reach out to your team directly as a shipping party has caught my attention through a return shipment for general order and being informed of a similar issue on the re-export side. As such, I went looking to see if there were any more return shipments. While I am still looking for shipments within my scope, I have found enough of a history of similar instances that I think it should be looked into. The party in question is Easy Shipping Corporation. They have two partner codes that pull up: 0006879108 and 0003522202." (Ex. V, CX_296).

24. Further, Davis identified multiple shipments with incorrect VINs and misreporting:

"The following BLs were the prompting shipments:

- NAM6206412 - A return shipment in USSAV was placed on general order. The shipment was caught in France and returned to USSAV as the VIN number reported for the Toyota 4Runner came up as a 2005 Toyota Tundra, which is not a compliant shipment for the original POD in Libya.
- NAM6150781B - A requested re-export shipment under a 2O hold marked under the household hand tools commodity code with a mark and description with incorrect VINs for all four vehicles listed." (Ex. V, CX_296).

25. Additionally, Davis identified four other shipments with VIN discrepancies:

- NAM6047238

⁷ . "Section 41102(c) addresses conduct that is part of a carrier’s ‘normal, customary, and continuous’ business practice rather than isolated occurrences or one-off errors." *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, No. 12-02, 2015 FMC LEXIS 43, at *119–20 (F.M.C. Dec. 17, 2015).

- NAM5993736B
- NAM5925709
- NAM6150781A

26. Davis's statement establishes that Respondent engaged in a pattern of misreporting across multiple shipments, leading to CMA CGM's decision to place its account on hold. This further discredits Respondent's claim that Complainant's shipment was the cause of any misrepresentation or return issues.

27. The CMA CGM emails provide direct insight into Respondent's standard operating procedures. They reveal that on multiple occasions, Respondent gave false information to carriers about cargo or routing, similar to the misrepresentation it made in Complainant's case. Such recurring conduct cannot be written off as a mistake; it demonstrates a deliberate business practice. By misstating container destinations, misidentifying cargo, and generally circumventing truthful disclosure, Respondent gained whatever short-term advantages it sought (perhaps avoiding certain fees or scrutiny), but in doing so it routinely violated the norms of honest dealing expected in maritime commerce.

28. This pattern of behavior is legally significant. Under § 41102(c), an NVOCC's "normal, customary, and continuous" behavior is scrutinized to determine if it is unjust or unreasonable.⁸ Here, the broader practice is clearly shown: Respondent's misconduct was habitual. Each instance of misreporting in the record reinforces the conclusion that Respondent consistently failed to observe just and reasonable practices in its dealings with cargo owners and carriers.

29. In evaluating Respondent's liability, the Commission should also consider that

Respondent's misrepresentations extended to this very proceeding. In its submissions to

⁸ . *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, No. 12-02, 33 S.R.R. 821, 865 (F.M.C. 2014) ("A one-time deviation from an otherwise consistent practice may not constitute a Shipping Act violation, but a continuing course of conduct or repeated departures from lawful practices may indicate the existence of an unjust or unreasonable practice.").

the Commission, Respondent made several assertions later proven false or unsupported – for example, claiming that it had no role in handling the return shipment or that a third party was responsible, claims which were refuted by the evidentiary record. Respondent even alleged that Complainant somehow secured the container’s release independently, which was logically and factually implausible given that Respondent was the carrier of record. These false statements to the Commission mirror the pattern of misrepresentation seen in Respondent’s shipping documents. They further highlight Respondent’s lack of transparency and willingness to mislead, underscoring the need for a strong response by Commission to prevent such conduct. An entity that repeatedly misinforms both its business partners and the Commission itself cannot be said to be engaging in “just and reasonable” practices.⁹

30. Respondent bargained for and knowingly assumed the risks associated with these activities for over two years and must now bear the consequences of those risks.¹⁰

C. CMA CGM did not Investigate The 2012 YAMAHA FX SHO

31. Contrary to Respondent’s claims, CMA CGM did not investigate the 2012 Yamaha FX SHO as a factor in the return of the container SEGU4852914. Instead, the return was based on the presence of a 2005 Toyota Tundra and Respondent’s failure to comply with cargo restrictions.

⁹ . "False or misleading statements made during the course of a Commission proceeding constitute a serious breach of duty, and such conduct may warrant adverse inferences, sanctions, or other remedial actions to preserve the integrity of the adjudicatory process."

*In re Vehicle Carrier Services, Docket No. 11-12, 2015 FMC LEXIS 40, at 37 (*F.M.C. July 23, 2015*).

¹⁰ . "Where a party knowingly enters into a course of dealing over an extended period, it assumes the attendant risks and obligations of that conduct and cannot avoid liability by later disavowing responsibility." Docket No. 1942(I) – *Investigation of Free Time Practices—Port of San Diego*, 10 F.M.C. 565, 572 (F.M.C. 1967).

32. CMA CGM's internal correspondence provides no evidence linking the Yamaha FX SHO to the return of the container. Respondent's attempt to shift blame onto Complainant is entirely unsupported by any credible documentation.

In an email from CMA CGM employee Kailyn Davis, the following concerns were raised regarding Respondent's ongoing shipping violations:

"I have been in direct communication with a contact from the shipping party on the NAM6206412 bill in regards to the general order issue, and it has just been placed on a 1H hold today after discussing the situation with CBP, who are aware of why the cargo was returned. However, since the customer has been painting this issue like an isolated mistake, I think the repeated history is particularly concerning. Additionally, the attached document was what the customer filled out by CBP request and was provided to me by the customer rather than CBP. I reached out to CBP directly to confirm the information and the 1H hold, but the information provided is interesting to note. Especially since on the import side, jet skis have not been discussed. Instead, we have been discussing a non-compliant pickup truck."

Email from Kailyn Davis, CMA CGM, (June 14, 2023, 22:50) (**Ex. V, CX_296**).

33. CMA CGM explicitly states that the return was due to a non-compliant pickup truck, not a jet ski, further dismantling Respondent's false claim. The agency's clarification—*"Especially since on the import side, jet skis have not been discussed. Instead, we have been discussing a non-compliant pickup truck."*—completely contradicts Respondent's attempts to link the Yamaha FX SHO to the return of the shipment.¹¹

¹¹ . "A carrier may not shield itself from liability by misrepresenting facts or shifting blame without credible evidentiary support. Assertions unsupported by reliable documentation will not be credited by the Commission." *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, No. 12-02, 2015 FMC LEXIS 43, at *151–52 (F.M.C. Dec. 17, 2015).

V. CONCLUSION

34. Complainant's Second Supplemental Brief has clarified the record and bolstered the legal arguments with pertinent evidence and authority. The facts show that Respondent misreported cargo information and neglected its responsibilities, directly causing Complainant's loss.
35. The supplemental CMA CGM emails confirm that this was not an isolated incident but part of Respondent's ongoing pattern of unreasonable practices. Respondent's attempts to shift blame or obscure the truth have been discredited by the documentary evidence. The law is clear that NVOCCs must exercise due care and cannot engage in such deceptive and negligent conduct without consequence. Respondent's actions – from the false bill of lading to the failure to file paperwork and pay charges – violate the Shipping Act's core mandate of just and reasonable behavior.
36. The evidence now before the Commission – organized and clarified through this supplemental brief and appendices – overwhelmingly supports a ruling in favor of Complainant. Respondent's conduct was flagrantly unreasonable and contrary to the Shipping Act, and Complainant respectfully requests that the Commission enforce the Act by granting the relief outlined in the first brief.

DATED: March 26, 2025

Respectfully submitted,
USL AUTO EXPORTING INC.,
By: /s/ ANIS HOUSSEIN
ANIS HOUSSEIN
general.manager@uslautoexporting.com

84 Kensington Dr., PISCATAWAY,
New Jersey 08854
Tel.: (862) 338-0889
Vice President for COMPLAINANT
USL AUTO EXPORTING INC.

CERTIFICATE OF SERVICE

I hereby certify that on February 26, 2025, a true and correct copy of this **COMPLAINANT'S SECOND SUPPLEMENTAL BRIEF AND SUPPLEMENTAL APPENDICES** was served via electronic mail to the following:

- **Counsel for Respondent, Easy Shipping Corporation**
Mr. Fadi Y. Rafati
Rafati, Ward & Associates, P.C.
Email: frafati@rafatilegal.com

Anis Houssein

Anis Houssein

Vice President for COMPLAINANT
USL AUTO EXPORTING INC.,